

SENATE No. 3163

The Commonwealth of Massachusetts

In the One Hundred and Ninety-Fourth General Court
(2025-2026)

1 by inserting the following sections:-

2 SECTION X. Section 69J of said chapter 164, as so appearing, is hereby further amended
3 by inserting, at the end thereof the following: -

4 No new gas facility or expansion of an existing gas facility, any part of which falls within
5 a 5 mile radius of an environmental justice neighborhood, shall be approved unless required for
6 the safety of the public.

7 SECTION X. Section 69K of said chapter 164, as so appearing, is hereby amended by
8 inserting, at the end thereof the following: -

9 No new gas facility, or expansion of an existing gas facility, any part of which falls
10 within a 5 mile radius of an environmental justice neighborhood, shall be granted a petition for a
11 certificate unless required for the safety of the public.

12 SECTION X. Section 69J ¼ of said chapter 164, as so appearing, is hereby amended by
13 inserting, at the end thereof the following: -

No new gas generating facility or expansion of an existing gas generating facility, any part of which falls within a 5 mile radius of an environmental justice neighborhood, shall be approved.

SECTION X. Section 69K ½ of said chapter 164, as so appearing, is hereby amended by inserting, at the end thereof the following: -

No new gas generating facility or expansion of an existing gas generating facility, within a 5 mile radius of an environmental justice community, shall be granted a petition for a certificate.

SECTION X. Section 1E of Chapter 164 of the General Laws is hereby amended by adding the following subsections after subsection (c):-

(d) The department shall require each company engaged in the sale or distribution of gas as part of performance-based ratemaking and biennially, as required by this act, to submit a just transition plan, which must be approved by the department, to address workforce development, maintenance, and attrition, and provide the following:

(i) A detailed proposed chronology for projected energy supply and distribution in the transition to net zero emissions to be set through performance-based ratemaking;

(ii) A detailed plan for the hire, retention, and training of a sufficient operations and maintenance workforce through 2050, or until the complete retirement of its gas pipeline is achieved, whichever is later, and which addresses the gas company's operational plans to meet the commonwealth's net zero emissions goals while concurrently fulfilling this chapter's

requirements to provide safe and reliable service as well as all other state and federal regulatory requirements;

(iii) Sufficient in-house staffing levels, in each relevant job classification and department to ensure the safety and reliability of the gas company's gas service through the effective time period for which the performance-based rates have been sought and taking into account the gas company's projected schedule for adopting non-pipeline and other renewable energy alternatives to natural gas and its obligations to maintain safe and reliable gas service to existing customers;

(iv) Training and workforce development plans providing for gas company workforce needs on residual natural gas as well as non-pipeline alternatives and other renewable energy sources through the effective time period for which the performance-based rates have been sought, including but not limited to, the generation and distribution infrastructure utilized to replace and/or complement natural gas, whether by the gas company, its parent or subsidiary or related corporation, a joint venture, or another company regulated by the department with electric or other non-pipeline alternative or renewable energy service territory overlap with the gas company;

(v) Any and all mitigation measures proposed or implemented to address the impacts of transition on the gas company's workforce over the course of the time period in which the performance-based rates remain in effect, including but not limited to, cross-training and hiring preferences at dual-fuel companies and joint ventures with non-pipeline alternative energy and/or other renewable energy generators and distributors, early retirement incentives, and education stipends for retraining;

(vi) Any collective bargaining or other agreements reached with labor unions representing the gas company's in-house workforce and/or representing the workforce of outside contractors to ensure a just workforce transition over the duration of the proposed performance-based rates or until a full transition to net zero emissions is achieved;

(vii) In the event of the gas company's anticipated substantial, partial, or complete cessation of gas operations in Massachusetts during the period in which performance-based review is effective, the company must report the following to the department:

(a) Means by which the gas company, and/or its parent corporation, intends to avoid burdening the commonwealth, ratepayers, or taxpayers with the social welfare costs resulting from such cessation;

(b) Measures to ensure the solvency of the gas company pension system during and after transition;

(c) Measures to stem the displacement of gas company employees unemployed as a result of transition from the Massachusetts energy sector; and

(d) Any agreements developed with labor unions representing the gas company's in-house workforce and/or representing the workforce of outside contractors to ensure a just workforce transition over the duration of the proposed performance-based rates.

This subsection shall apply to any distribution, transmission, and gas company organized and doing business in the commonwealth pursuant to the provisions of chapter 164, including any successor company engaged in dual-fuels, joint ventures with renewable energy generators or distributors, or alternative energy companies.

Nothing in this subsection shall prohibit or supplant the local distribution company's collective bargaining obligations relative to the National Labor Relations Act.

SECTION X. Chapter 164 of the General Laws is hereby amended by adding the following section:-

Section 149. Department program to ensure a just transition.

(a) Definitions. For the purposes of this section, the following definitions shall apply:

"Gas company" or "employer", any local distribution company regulated under section 3 of chapter 164 and distributing natural gas to ratepayers.

"Dual-fuel company", a company that distributes natural gas and one or more other forms of energy to commercial, governmental, and/or residential ratepayers.

"Alternative energy company", a company that generates or distributes forms of energy whose production and use results in the production of lower carbon emissions than conventional natural gas or electric energy.

"Commonwealth", the Commonwealth of Massachusetts and/or its departments, offices, agencies, political subdivisions, and quasi-public agencies, including, but not limited to, quasi-public agencies subject to chapter 150A as appearing in chapter 760 of the acts of 1962, and any quasi-public independent entity and any authority or body politic and corporation established by the general court to serve a public purpose.

(b) Planning for Just Transition of Workforce.

(1) Every gas company shall develop, and periodically amend, a comprehensive plan, as set forth in Section 1E of Chapter 164, to be filed with the Department of Public Utilities for the hire, retention, and training of a sufficient operations and maintenance workforce through 2050, or until the complete retirement of its gas pipeline is achieved, whichever is later, addressing its plans to meet the commonwealth's net zero emissions goals and its plans to fulfill this chapter's requirements to provide safe and reliable service as well as all other state and federal regulatory requirements. Such plan shall be amended biennially, beginning July 1, 2026, and shall also be amended when the gas company files with the department requesting performance-based ratemaking.

In addition to provisions set forth by section 1 of this act, each company plan shall also provide projections for any attrition among its in-house workforce and the utilization of outside contractors over both the biennial period and over the course of its transition to net zero emissions or its complete retirement of its gas pipeline, whichever is later.

All dual-fuel companies must additionally provide, as part of their biennial plan, provisions, opportunities, and initiatives to provide training and employment opportunities to workers who may be displaced by the gas company's compliance with the commonwealth's net zero emissions goals on the other forms of energy it distributes. This includes, but is not limited to, any agreement reached with labor organizations representing employees at its gas or alternative fuel operations or labor organizations representing employees of its outside contractors.

(2) The department shall, when initiated sua sponte or by motion of the Attorney General, initiate an investigation to determine the sufficiency of the gas company and/or dual-fuel

company's plan with regard to meeting the commonwealth's net zero emission requirements and chapter 164's reliability, safety, and staffing requirements. Such plans, and all back-up data upon which the plans are based, shall be subject to disclosure to all intervening stakeholders during the investigation. Upon good cause shown, back-up data may be subject to reasonable protective treatment.

(c) Funding for Training on Alternative Fuels.

The Executive Office of Energy and Environmental Affairs and the Executive Office of Labor and Workforce Development shall, joint and in collaboration, administer programs, provide technical assistance, and develop regulations for a training fund to support the establishment of apprenticeship programs to train gas and dual-fuel company employees on alternative energy generation and distribution and raise the next generation of energy industry workers in the commonwealth.

Grants from the fund may be provided to gas and dual-fuel companies for the development and execution of training their workforces on a competitive basis, based upon a number of factors, including but not limited to, the company's demonstrated commitment to (1) retaining and repurposing its in-house gas workforce on dual-fuel or alternative energy businesses, and (2) to maintaining high quality, long-term in-house employment opportunities in energy distribution. Labor organizations representing gas company workers and dual-fuel company workers may also apply for funding.

Alternative energy companies, including both generating or distributing companies, may also apply for training grants from this fund to defray the cost of hiring and training workers displaced by the commonwealth's efforts to meet its net zero emissions goals. To qualify,

alternative energy companies must demonstrate that (1) they are developing and executing plans for hiring, training, and retention that include a demonstrated commitment to training and hiring gas company employees and other workers displaced by the commonwealth's transition to net zero emissions, (2) they have or are in the process of developing robust in-house training programs in the commonwealth on alternative energy, and (3) they are committed to the creation and maintenance of high quality, sustainable employment opportunities for displaced workers.

SECTION X. Chapter 23 of the General Laws, as appearing in the 2022 Official Edition, is hereby amended by adding following section:-

Section 26. Just Transition to Clean Energy.

(a) Within the Executive Office of Labor and Workforce Development, there shall be a Just Transition Office. The office shall ensure that workers employed in the energy sector who are displaced due to efforts by the commonwealth or the private sector to reduce greenhouse gas emissions or transition from fossil fuels to clean energy have access to employment and training opportunities in clean energy industries and related fields. The office shall also work with clean energy businesses to ensure they act as responsible employers to further the commonwealth's workforce and economic development goals. The office shall also work to increase access to employment and training opportunities in clean energy industries and related fields for residents of environmental justice communities.

(b) The Secretary of Labor and Workforce Development shall appoint the director of the office.

(c) There shall be a Just Transition Advisory Committee consisting of: (i) the director of the just transition office; (ii) the secretary of labor and workforce development, or their designee;

(iii) the commissioner of the department of energy resources, or their designee; (iv) the secretary of the executive office of energy and environmental affairs, or their designee; (v) a representative of employers in the gas utility sector appointed by the governor; (vi) a representative of employers in the electric power generation sector appointed by the governor; (vii) a representative of employers in the renewable electricity sector appointed by the governor; (viii) a representative of employers in the energy efficiency sector appointed by the governor; (ix) a representative of employers in the clean transportation sector appointed by the governor; (x) a representative of employers in the clean heating sector appointed by the governor; (xi) a representative of employees in the gas utility sector appointed by the president of the Massachusetts AFL-CIO; (xii) a representative of employees in the electric power generation sector appointed by the president of the Massachusetts AFL-CIO; (xiii) two representatives of employees in the clean energy sector appointed by the president of the Massachusetts AFL-CIO; (xiv) a representative of employees in the transportation sector appointed by the president of the Massachusetts AFL-CIO; (xv) the president of the Massachusetts Building Trades Council, or their designee; and (xvi) two representatives of environmental justice communities appointed by the secretary of the executive office of energy and environmental affairs.

(d) The committee shall be tasked with developing a just transition plan for the energy sector that identifies workers currently employed in the sector by industry, trade, and job classifications, and contains relevant information including, but not limited to, current wage and benefit packages and current licensing, certification, and training requirements. The committee, through the just transition plan, shall recommend education and training programs to enhance re-employment opportunities within the energy sector, and services to support dislocated workers displaced from jobs within the energy sector as a result of emissions-reducing policies and

advancements in clean energy technology. The just transition plan shall also recommend actions to increase opportunities for residents of environmental justice communities to work in clean energy industries.

(e) The just transition plan shall include provisions to:

(i) educate dislocated workers, in collaboration with employers of dislocated workers and relevant labor unions, on re-employment or training opportunities;

(ii) provide training, cross-training, and re-training to workers displaced by gas infrastructure loss in the commonwealth's local distribution companies and related businesses:

(iii) address the workforce development challenges of the fossil fuel energy sector's shrinking workforce over the course of the commonwealth's transition to a clean energy economy;

(iv) incentivize the hiring of displaced energy sector workers with utilities, clean energy industries, and related industries;

(v) collaborate with the Massachusetts Clean Energy Center to ensure that training and employment opportunities for displaced energy sector workers are included in their initiatives, incentives, funding opportunities, and projects;

(vi) collaborate with the department of public utilities and other agencies regulating the energy sector within the commonwealth to coordinate just transition initiatives, complementing the other regulatory priorities of those agencies;

(vii) evaluate options for the establishment of a fund to implement the just transition plan and its components, including potential sources for sustainable short-term and long-term funding;

(viii) develop requirements, including the submission of a workforce transition plan, for energy sector employers that are closing a facility or significantly reducing their workforces as a result of efforts by the commonwealth or the private sector to reduce greenhouse gas emissions or transition from fossil fuels to clean energy;

(ix) identify employers in the energy sector involved or likely to be involved in transitional steps away from fossil fuels and establish requirements and procedures for submissions of employee counts and classifications to the office; and

(x) increase access to employment and training opportunities in clean energy industries and related fields for residents of environmental justice communities.

(f) Employers described in paragraph (ix) of subsection (e) shall submit a workforce transition plan to the office. Workforce transition plans be subject to section 10 of chapter 66 of the General Laws and shall include:

(i) the reasons for the workforce reduction or facility closure;

(ii) the total number of workers by job classification and by geographic assignment employed by the employer;

(iii) the total number of workers whose existing jobs who will be retained, by job classification and geographic location;

223 (iv) the total number of workers whose existing jobs are being eliminated by the
224 workforce reduction or the closure of a facility, by job classification and geographic location;

225 (v) whether each classification of workers whose jobs are being eliminated will be
226 offered employment in any other job classification or capacity by the employer; how many
227 employees in each classification will be offered employment; and whether the replacement
228 employment offered will provide comparable wages, benefits, and working conditions;

229 (vi) whether the employer is offering severance or early retirement benefits to impacted
230 workers; the value of the severance or early retirement benefits; whether the severance or early
231 retirement benefits are being provided to all or certain classes of workers and how many
232 impacted workers intend to utilize these offerings;

233 (vii) whether the employer plans to transfer the work to a separate facility, enter a
234 contracting agreement for work previously performed by company employees, or otherwise
235 outsource work previously performed by company employees; and

236 (viii) whether the employer is a recipient of loans, grants, tax increment financing, or any
237 other financial incentive from the commonwealth, its independent state agencies, departments, or
238 corporations, or any municipality within the last five years.